# ORGANIZATIONAL FORMS OF BUSINESSES

## Learning Outcome

- compare the organizational forms of businesses

In most market economies, there are three general types of organization, each with distinct purposes, stakeholders, and governing legal frameworks: for-profit organizations, known as **businesses** or **companies**; not-for-profit non-governmental organizations, or simply non-profits; and governments.

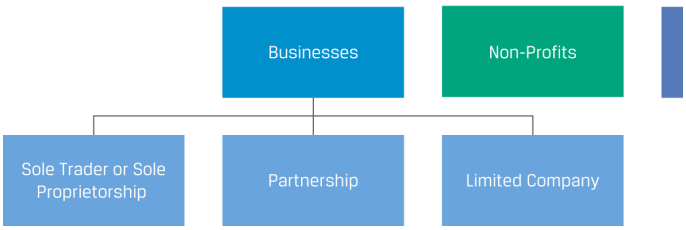
The focus of this and subsequent modules are businesses, because financial analysts are important participants in the markets for their financial resources. However, non-profits and governments often are investors in businesses, which will be covered in later lessons. Governments as issuers of debt and other securities are covered in modules on fixed income.

## Organizational Forms of Businesses

Business owners choose a legal **organizational form** that defines how returns, risks, and ownership and operational responsibilities are distributed. There are three general forms common to most jurisdictions.

**Exhibit 1:**

**Organizational Forms of Businesses**




The organizational forms of businesses differ by several attributes:

- *Legal identity:* Whether the business is legally considered a separate entity or person apart from its owners
- *Owner–manager relationship:* The relationship between the owner(s) of the business and those who manage the business

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Category
**Organizational Forms, Corporate Issuer Features, and Ownership**

Related Questions:
Practice questions related to this topic

- *Taxation:* The treatment of business profits or losses for tax purposes
- *Access to financing:* The ability to raise capital to fund expansion and distribute risks

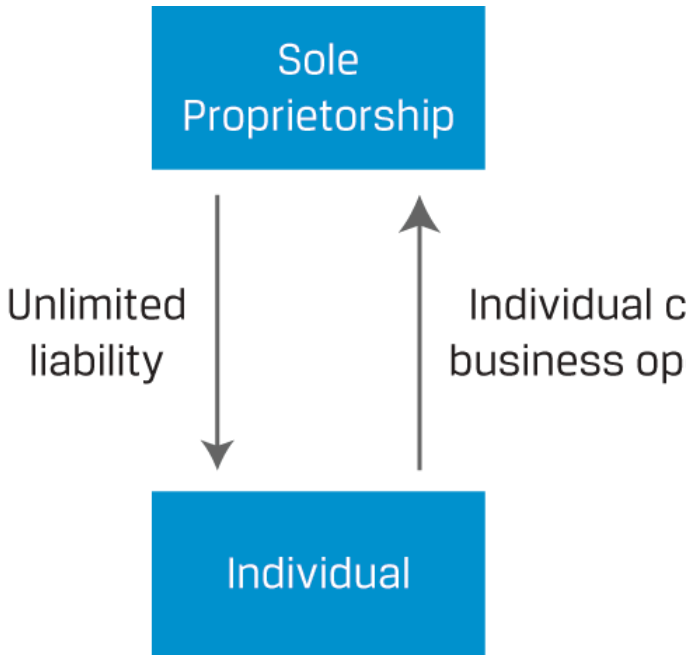
Every jurisdiction has its own specific versions and variants of organizational forms, including different names for them. We are not attempting to provide an exhaustive treatment of jurisdictional specifics; rather, we provide the general and common attributes that analysts must know to ask the right questions in their own research on specific investment candidates and business cases.

## Sole Trader or Proprietorship

The simplest organizational form is the sole trader or proprietorship, shown in Exhibit 2. In a sole proprietorship, the owner provides the capital needed to start and operate the business and retains full control over management, while participating fully in the firm's financial returns and risks. In some jurisdictions, this form is the default form, requiring no formal legal registration, and is dissolved when the owner ceases business activity or dies.

**Exhibit 2:**

**Sole Trader or Proprietorship**




An example of a sole proprietorship is a family-owned business. The individual owner usually uses savings or a personal loan to start the business and to run daily operations and retains full management control. The owner retains all return (profits), which is taxed as personal income, and is personally responsible for losses and obligations of the business, such as debts.

business owners for their simplicity and flexibility, their growth is constrained by an owner's ability to access financing, assume risk, and serve as the sole owner.

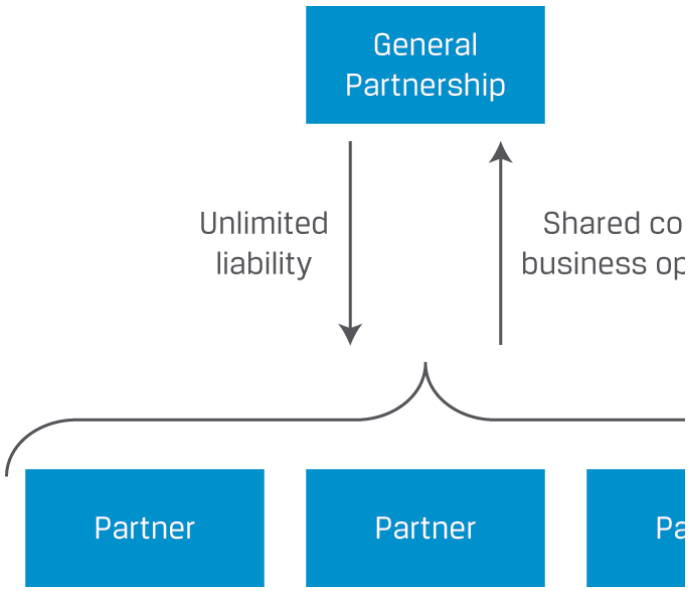
## Partnerships

Partnerships allow multiple owners to pool their resources and share business risk and return. There are three common types in most jurisdictions: general partnerships, limited partnerships, and limited liability partnerships.

A **general partnership**, shown in Exhibit 3, has two or more owners called partners or **general partners (GPs)**. General partnerships are like sole proprietorships, with the important distinction that they allow for additional resources to be brought into the business by the additional owners, along with the sharing of business risk and return. Partnerships are often formed and governed by a written partnership agreement that outlines specific partner roles and responsibilities and the sharing of profits, losses, and obligations. However, a written agreement is not required; partnerships can be formed verbally or incidentally through actions.

**Exhibit 3:**

**General Partnership**

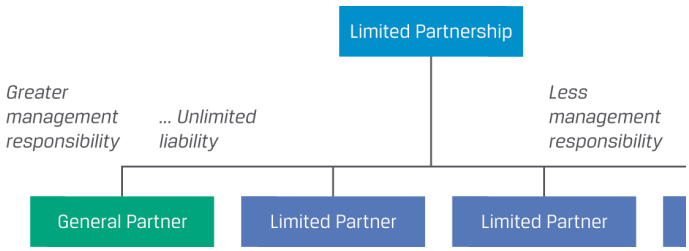



Examples of general partnerships include service businesses, such as builders or contractors, and joint ventures of multiple businesses. Such businesses have a small number of partners who usually contribute equal or similar amounts of capital. The partners bring complementary expertise, such as expertise in business development, financial acumen, operations, or legal/compliance, and they share responsibility in running the business. All profits, losses, and risks of the business are collectively assumed and shared by the

proprietorship, potential for growth is limited by the partners' ability to source financing and expertise and their collective risk tolerance because the partners are still personally liable for business losses and debt.

Exhibit 4 shows a type of partnership called a **limited partnership**, which addresses some of the shortcomings of general partnerships. In a limited partnership, there must be at least one general partner (GP) with unlimited liability that often manages the business. Remaining partners, however, called **limited partners (LPs)**, have limited liability, meaning their losses are limited to the size of their investment in the limited partnership, and may not have any management responsibilities. With limited liability, personal assets are considered separate and thus protected from the obligations of the business. All partners are entitled to a share of the profits and losses as specified in the partnership agreement, with GPs typically receiving a larger portion in exchange for their greater risk and personal liability. Partnership agreements are customized and negotiated by the partners and can be highly complex, with multiple partnership tiers that have varying profit and loss sharing arrangements.

### Exhibit 4: Limited Partnership




In a limited partnership, while financial risk and reward are shared, such resources as capital and expertise are typically limited to what the partners can contribute, and limited partners usually grant managerial responsibilities to the GP, which entails risk. Partnership agreements are customized and often limit the transferability of ownership interest or expansion beyond a small group of partners. Like sole proprietorships, partnerships are typically **pass-through businesses** for tax purposes. Pass-through businesses are not taxed at the entity level, passing on all their profits or losses to the partners who are taxed personally. Business income from these entities is passed through and taxed regardless of whether income was actually distributed or retained in the partnership and reinvested.

In some jurisdictions, there is a special form of limited partnership known as a **limited liability partnership (LLP)**, which does not require a general partner and is instead composed entirely of limited partners, thus resolving the risk of unlimited liability for the GP. Instead, all partners have limited liability, and the partners share in

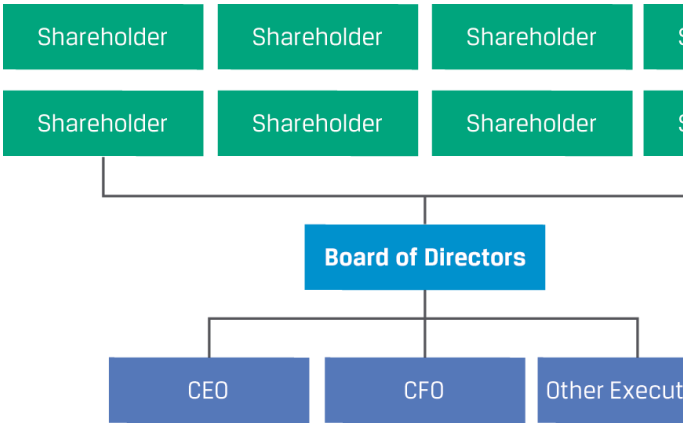
United States, LLPs are permitted only for professional services firms, such as law, accounting, engineering, and architecture, and have limits on the number of partners and legal restrictions on equity investment.

## Limited Companies

Finally, a **limited company** has many similarities to limited partnerships but includes several more features that allow greater access to financing and expertise for growth. In many jurisdictions, there are two types of limited companies: private limited companies and public limited companies.

The **private limited company** is similar to a limited partnership. But the form includes limited liability for *all* owners, improved transferability of ownership interests by dividing ownership into units called **shares** that are more easily tradeable, and a distinction between owners and managers. Owners, known as **shareholders** or members, elect a **board of directors** to manage the company and authorize any distributions of profits to owners. Boards of directors typically appoint professional managers. Private limited companies are known by many names in different jurisdictions, including limited liability company (LLC) and S corporation in the United States, G.K. in Japan, SARL in France, GmbH in Germany, and company with limited liability in China.

**Exhibit 5: Organization of Limited Company**




In many jurisdictions, including the United States, private limited companies have legal limits on the number of owners and require votes for transferring ownership interest but are pass-through businesses (like LPs), meaning that taxes on business income are paid only at the shareholder, not company, level.

Finally, **public limited companies**, often called **corporations**, are similar to private limited companies but in most jurisdictions face no legal restrictions on the number of owners or ownership transferability, while still featuring limited liability and separation of ownership and management. For these reasons, public limited

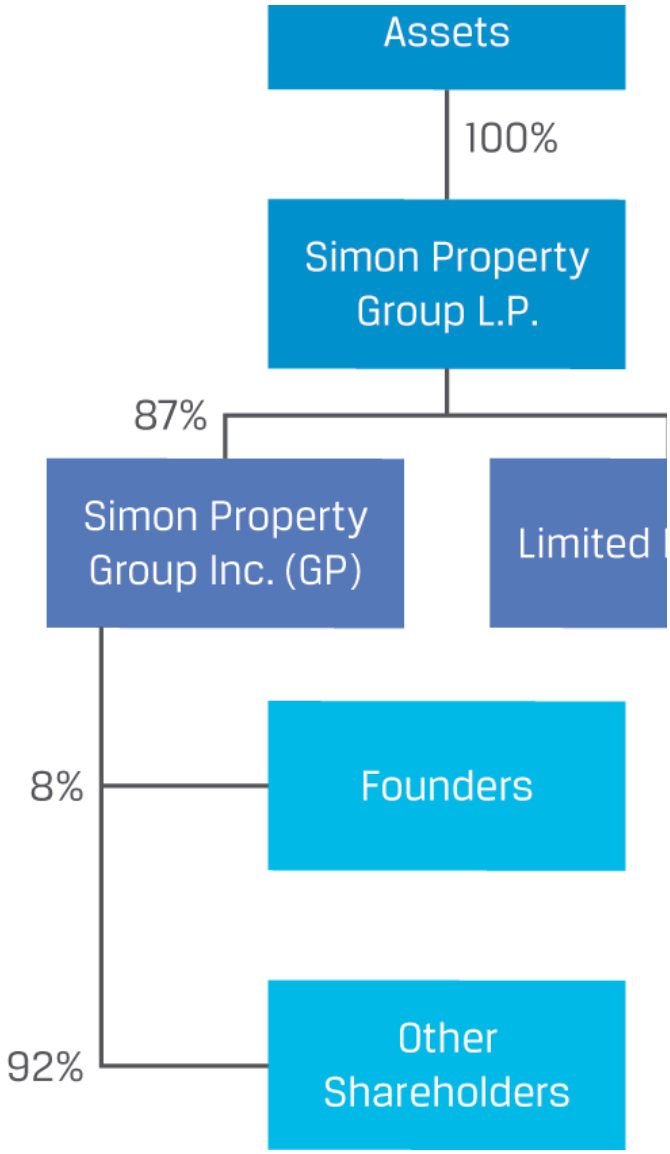
and asset values. However, public limited companies are disadvantaged in most jurisdictions compared to the other organizational forms in one respect: taxation. While other forms are taxed only on business income and loss at the owner (personal) level, public limited companies are taxed at the business level and *again* at the personal level if profits are distributed to shareholders. But if profits are retained and reinvested in the company, the shareholder level of tax does not apply, which makes this organizational form more suitable for companies intending to retain profits to fund investment.

Public limited companies are known by different names in different jurisdictions, including C-corporation in the United States, corporation in China, Société anonyme in France, AG in Germany, and K.K. or stock company in Japan. Examples are numerous, including most if not all well-known multinational companies.

### EXAMPLE 1

#### Simon Property Group

Simon Property Group ("Simon") is one of the largest owners of retail real estate in the world, with over $33 billion in assets. Its assets primarily include shopping centers in the United States and some retail properties in Europe and Asia. Simon is organized in two layers, each with a distinct organizational form.




The retail real estate assets are wholly owned by Simon Property Group L.P., a limited partnership. Its partners include Simon Property Group Inc., the general partner, and approximately 200 limited partners. The general partner has full managerial responsibilities and unlimited liability and has an ownership interest of 87% in the partnership.

Importantly, the general partner, Simon Property Group Inc., is itself a corporation. It is broadly owned by thousands of shareholders, including the founding family, which owns 8% of shares. Simon Property Group Inc. has a single asset: its partnership interest in Simon Property L.P.

Simon's structure allows co-investing with limited partners, full management control, and receiving most of the income from the assets, while benefiting from broad access to financing, because while the GP has unlimited liability, its *shareholders* have limited liability. Partnerships composed of entities with limited liability, such as corporations, are common because they shield the ultimate owners (in this case, shareholders of Simon

The key distinctions between sole proprietorships, partnerships, and public limited companies or corporations are outlined in Exhibit 6.

### Exhibit 6:

### Features of Sole Proprietorships, Partnerships, and Corporations

| Feature | Sole Proprietor | General Partnership | Limited Partnership | Corporation |
|---|---|---|---|---|
| Legal Identity | No separate legal identity; extension of owner | No separate legal identity; extension of partner(s) | No separate legal identity; extension of partner(s) | Separate legal entity |
| Owner–Operator Relationship | Owner operated | Partners operated | GP operated | Board and management operated |
| Owner Liability | Sole unlimited liability | Shared unlimited liability | GP has unlimited liability; LPs have limited liability | Limited liability |
| Taxation | Pass-through: Profits taxed as personal income | Pass-through: Profits taxed as personal income | Pass-through: Profits taxed as personal income | Corporation income taxed; distributions (dividends) taxed as personal income |
| Access to Financing | Limited by owner access to capital | Limited by partner access to capital | Limited by GP/LP access to capital | Unbounded access to capital, unlimited business potential |

### EXAMPLE 2

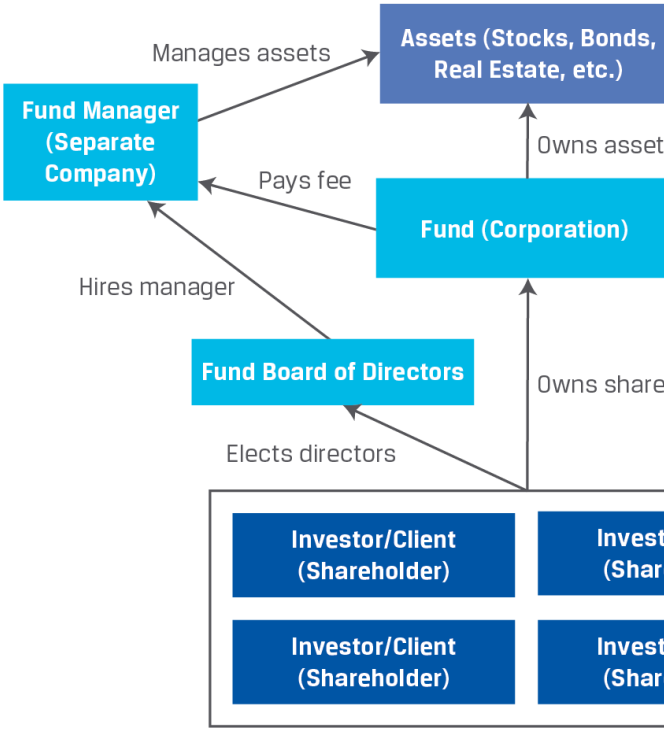
## How Are Investment Funds Organized?

Investment funds are pools of capital contributed by one or more investors for earning returns and managing risks. Investment funds are like other companies in a market economy: They hire professional management to invest capital, sometimes with additional borrowed money, in various assets to achieve return objectives subject to risk constraints. Major differences between funds and other companies include employing few people directly, primarily investing in financial

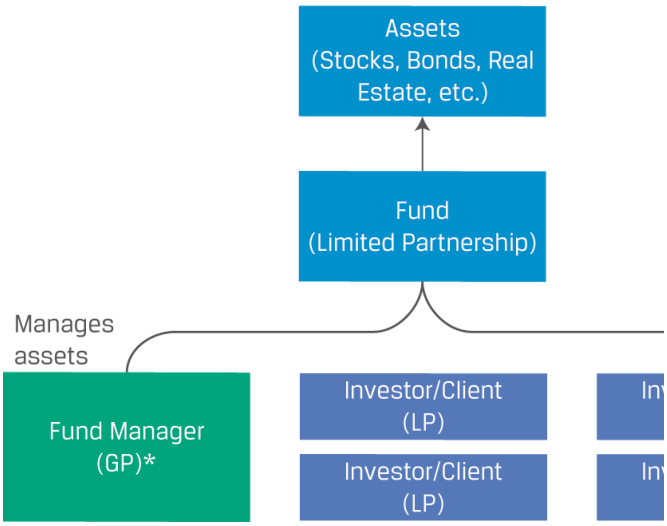
exceed a benchmark rate of return).

Two common organizational forms for investment funds are corporations and limited partnerships, as illustrated in the following two diagrams. When organized as a corporation, fund investors hold shares that represent their proportionate interests in the pool of underlying assets. When organized as a limited partnership, fund investors hold partnership units that either represent their proportionate interests in the pool of underlying assets or varying interests of specific assets.

**Investment Fund Organized as a Corporatior**




**Investment Fund Organized as a Limited Partners**




*In this structure, which will be discussed in greater detail later in the curriculum in lessons on alternative investment, fund managers typically create a wholly owned private limited company entity that serves as the GP to protect the fund manager from unlimited liability.

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1. Identify two features that distinguish a general partnership from a limited partnership.

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2. Match the following business attributes with the most appropriate organizational form.

| Business Attribute | Organizational Form |
|---|---|
| A. Significant capital needs | 1. Limited liability partnership |
| B. Single owner, desires simplicity | 2. Corporation |
| C. Company provides professional services | 3. Sole proprietorship |

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3. If a company owner expects to have a significant need for financing, which of the following organizational forms is the *least* appropriate choice?

**A.** Corporate
**B.** Partnership
**C.** Sole proprietorship

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4. Fill in the blanks in the following sentence:

_____ liability is a benefit to the corporate organizational form, but the form does face a possible disadvantage because of _____ taxation of distributed business income.

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5. True or False: Partnerships are typically taxed at the entity level rather than at the individual partner level.

**A.** True
**B.** False

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